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LOS ANGELES

SUPERIOR COURT – SOUTHWEST DISTRICT

Honorable Amy N. Carter Monday, August 24, 2026 Department M Calendar
No.

PROCEEDINGS

Tariq

Al Shaltoni, et al. v. Hyundai Motor America, et al.

26TRCV01070

1. Hyundai Motor America's Motion to Compel Arbitration and
to Stay Action

TENTATIVE RULING

Hyundai Motor America's Motion to Compel Arbitration
and to Stay Action is granted.

Background

Plaintiffs filed the Complaint on March 24, 2026.

Plaintiffs allege the following facts. Plaintiffs allege that their 2025

Hyundai Palisade suffers from defects. Plaintiffs set forth causes of action

under the Song-Beverly Act and a cause of action for Violation of B&P Code §
17200.

Request for Judicial Notice

Defendant's request for judicial notice is granted pursuant to Evidence Code section 452(d).

Motion to Compel Arbitration

"California law reflects a strong public policy in favor of arbitration as a relatively quick and inexpensive method for resolving disputes. [Citation.] To further that policy, [Code of Civil Procedure] section 1281.2 requires a trial court to enforce a written arbitration agreement unless one of three limited exceptions applies. [Citation.] Those statutory exceptions arise where (1) a party waives the right to arbitration; (2) grounds exist for revoking the arbitration agreement; and (3) pending litigation with a third party creates the possibility of conflicting rulings on common factual or legal issues. (§ 1281.2, subds. (a)–(c).)" *Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal.App.4th 959, 967.

"The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." *Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1284.

"The party opposing arbitration has the burden of demonstrating that an arbitration clause cannot be interpreted to require arbitration of the dispute. Nonetheless, this policy does not override ordinary principles of contract interpretation. [T]he contractual terms themselves must be carefully examined before the parties to the contract can be ordered to arbitration: Although [t]he law favors contracts for arbitration of disputes between parties, there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate." *Rice v. Downs* (2016)

247 Cal.App.4th 1213, 1223 (internal citations and quotations omitted).

In *Rowe v. Exline* (2007) 153 Cal.App.4th 1276, 1286, the Court of Appeal found that “a nonsignatory sued as an agent of a signatory may enforce an arbitration agreement.” *Id.* at 1286. In addition, “a nonsignatory who is the agent of a signatory can even be compelled to arbitrate claims against his will.” *Id.* at 1285, citing *Harris v. Superior Court* (1986) 188 Cal.App.3d 475, 477–78. Further, “in many cases, nonparties to arbitration agreements are allowed to enforce those agreements where there is sufficient identity of parties.” *Valley Casework, Inc. v. Comfort Construction, Inc.* (1999) 76 Cal.App.4th 1013, 1021. This includes nonparties as agents of a party as well as “a third party beneficiary of an arbitration agreement.” *Ibid.*

“Under the doctrine of equitable estoppel, [...] a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are intimately founded in and intertwined with the underlying contract obligations. By relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. Where the equitable estoppel doctrine applies, the nonsignatory has a right to enforce the arbitration agreement.” *Felisilda v. FCA US LLC* (2020) 53 Cal.App.5th 486, 495–96 (internal citations and quotations omitted).

Defendant moves for an order compelling arbitration of Plaintiffs’ claims and for an order for stay pending completion of arbitration. The motion is made pursuant to Code of Civil Procedure §1281 et seq. and the FAA, on the grounds Plaintiffs are bound by a written agreement to arbitrate the subject matter of the Complaint. Defendant argues that a valid arbitration agreement exists between the parties that requires arbitration of Plaintiffs’ claims. However, Plaintiffs argue that Defendant failed to establish the existence of an arbitration agreement.

Code Civ. Proc., § 1281.2

states, in relevant part: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court

shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists[. . .].” “Generally, an arbitration agreement must be memorialized in writing. A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement. A signed agreement is not necessary, however, and a party’s acceptance may be implied in fact or be effectuated by delegated consent. An arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (internal citations omitted).

The burden of production of evidence in the context of a motion to compel arbitration was cogently articulated by the following case. “First, the moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy. The moving party can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. For this step, it is not necessary to follow the normal procedures of document authentication. If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. [¶] If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [¶] If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166 (internal citations and quotations omitted).

Defendant has met its initial burden of producing prima facie evidence of a written agreement to arbitrate. (Decl., Anthony Goel, ¶¶ 5-20, Exs. F, G; Decl., Vijay Rao, Exs. A-E). Pursuant to the warranty agreement between the parties, Defendant has

identified arbitration provisions.

The provisions state in relevant part:

“IN THE UNLIKELY EVENT THAT OUR CUSTOMER SERVICE DEPARTMENT IS UNABLE TO RESOLVE YOUR CONCERNS, WE EACH AGREE THAT ANY DISPUTE THAT IS NOT RESOLVED BY AN INFORMAL DISPUTE RESOLUTION CONFERENCE (AS DEFINED AND DESCRIBED BELOW) SHALL BE RESOLVED IN CONFIDENTIAL BINDING ARBITRATION CONDUCTED BEFORE ONE ARBITRATOR FROM THE AMERICAN ARBITRATION ASSOCIATION (“AAA”) PURSUANT TO THE AAA ARBITRATION RULES, RATHER THAN IN A COURT, AS DESCRIBED IN THIS ARBITRATION AGREEMENT (THE “ARBITRATION AGREEMENT”). (Decl., Vijay Rao, Ex. E, p. 26-32).

“If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle’s purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through the American Arbitration Association (AAA) under its Consumer Arbitration Rules.” (Defendant’s Ex. F, page 12).

Thus, the burden shifts to Plaintiffs to produce evidence to challenge the authenticity of the agreement, by, for example, challenging that they ever signed or agreed to the agreement. Plaintiffs presented arguments challenging the authenticity of the agreement. However, Plaintiffs filed no evidence in support of these arguments. Plaintiffs argue that “there is no evidence that Plaintiffs ever saw or received a copy of the Bluelink Connected Services Agreement, there is only speculation that

Plaintiffs reviewed the hyperlinked “terms and conditions” when signing up for the Bluelink system.” (Opposition, p. 3, lines 25-28). Thus, Plaintiffs filed a written opposition to the motion attempting to challenge authenticity, but, with no evidence.

The Court further notes that Plaintiffs themselves filed this lawsuit based specifically on the written warranty and now appears to disavow a clause in the written warranty claiming that it cannot be established that the parties entered into such an agreement. If Plaintiffs did not assent to the warranty, it is unclear how Plaintiffs believe that they can enforce the terms of that warranty. Plaintiffs also presented some arguments regarding unconscionability but again did not file any evidence to support these arguments. Plaintiffs did not meet their burden to show that the arbitration agreement should not be enforced.

Plaintiffs argue that the arbitration clause is unconscionable. A court can invalidate an arbitration agreement when it is unconscionable or against public policy. See *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 99. Unconscionability contains two elements: procedural unconscionability and substantive unconscionability.

[U]nconscionability has both a procedural and a substantive' element, the former focusing on 'oppression' or 'surprise' due to unequal bargaining power, the latter on 'overly harsh' or 'one-sided' results. The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." But they need not be present in the same degree. Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” See *Armendariz*, 24 Cal.4th at 114.

“The traditional standard of

unconscionability . . . is that the inequality amounting to fraud must be so strong and manifest as to shock the conscience and confound the judgment of any man of common sense. Subsequent decisions have defined an unconscionable contract in varying but similar terms, such as a contract that no man in his senses and not under delusion would make on the one hand, and as no honest and fair man would accept on the other." See *California Grocers Assn. v. Bank of America* (1994) 22 Cal.App.4th 205, 214-15 (internal citations omitted).

Procedural unconscionability

may be established by showing oppression and surprise. Oppression occurs where the parties have unequal bargaining power, and the contract is not the result of meaningful negotiations. Surprise recognizes the extent to which the agreed upon terms were hidden.

"In many cases of adhesion

contracts, the weaker party lacks not only the opportunity to bargain but also any realistic opportunity to look elsewhere for a more favorable contract; he must either adhere to the standardized agreement or forego the needed service." *Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 711. Simply because a contract may have elements of an adhesion contract does not render the agreement procedurally unconscionable. "The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." *Sanchez v. Valencia Holding* (2015) 61 Cal.4th 899, 912.

"[C]ourts, including ours,

have used various nonexclusive formulations to capture the notion that unconscionability requires a substantial degree of unfairness beyond a simple old-fashioned bad bargain. This latter qualification is important. Commerce depends on the enforceability, in most instances, of a duly executed written contract. A party cannot avoid a contractual obligation merely by complaining that the deal, in retrospect, was unfair or a bad bargain. Not all one-sided contract provisions are unconscionable; hence the various intensifiers in our formulations: 'overly harsh,' 'unduly oppressive,' 'unreasonably favorable.' The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1245 (internal citations

and quotations omitted; emphasis in original).

As noted above, Plaintiffs submitted no evidence to support any unconscionability argument. Plaintiffs' stray arguments regarding the alleged overbreadth of the arbitration agreement and the adhesive nature of the agreement do not establish procedural or substantive unconscionability.

Defendant has no obligation to highlight, explain, or discuss the terms of the arbitration agreement as any such requirement would be contrary to the FAA. *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal. 4th 899, 914-15. But, most fundamentally, Plaintiffs submitted no competent first-hand evidence, such as Plaintiffs' own declarations, to support the argument of procedural unconscionability. Plaintiffs have not established that the agreement is procedurally unconscionable.

As noted above, both procedural and substantive unconscionability must exist for the Court to exercise its discretion to refuse to enforce the arbitration provision. Thus, the Court need not even analyze the element of substantive unconscionability. However, Plaintiffs' argument stating that the agreement is substantively unconscionable based on harsh and one-sided terms is also not well taken and completely conclusory.

Therefore, Defendant's Motion to Compel Arbitration and to Stay Action is granted.

An OSC Re: Status of Arbitration is set for _____.

Defendant is ordered to give notice of this ruling.